institution, the NIPFP, will ultimately require offices in many states, and need to get deeply involved in public finance and policy at the level of a few major states and a few large cities.

While the constitutional scheme gives considerable latitude to the Union government on List 3 questions, the climate of opinion should move towards an environment where the Union government comes into these only sparingly.

In the field of mineral resources, there has been a long history of tension between the Union government and state government. An attractive solution is for the Union government to completely vacate this space and leave it to state governments.

Smaller states, cities as states

Uttar Pradesh is a vast and heterogeneous state. It may make sense for it to be divided into multiple smaller states, each of which would then find solutions that are the most appropriate for local conditions. Jairam Ramesh has emphasized that such actions can be taken by the Parliament acting alone. [3]

If the biggest cities become states, as has been done in China, this would help urban governance. This may be particularly appropriate as, in the future, the identity of many individuals will be tied closer to a home city than to a home state. Participation in local politics will become more natural if it is organized around a city rather than a state.

In the modern economy, cities are the engine of growth. Sustained growth in India is critically linked to achieving sound urban governance. If cities are empowered with their own tax base (by becoming states), there would be incentive compatibility in governance. City governments would issue bonds, improve local public goods, which would foster greater consumption in the city, which would feed back to the tax revenues of the city through GST, and these tax revenues would be used for debt servicing. [4]